

Amendment No. 2 to SB1413

Watson
Signature of Sponsor

AMEND Senate Bill No. 1413*

House Bill No. 1376

by deleting § 57-7-102(3) in SECTION 2 and substituting:

(3) "Hemp-derived cannabinoid":

(A) Means:

(i) A cannabinoid other than delta-9 tetrahydrocannabinol, or an isomer derived from such cannabinoid, that is derived from hemp in a concentration of more than one-tenth of one percent (0.1%);

(ii) A hemp-derived product containing delta-9 tetrahydrocannabinol in a concentration of not more than three-tenths of one percent (0.3%) on a dry weight basis; or

(iii) A hemp-derived product containing a total THC content or a total theoretical THC content of not more than three-tenths of one percent (0.3%) on a dry weight basis;

(B) Includes, but is not limited to:

(i) Delta-8 tetrahydrocannabinol;

(ii) Delta-10 tetrahydrocannabinol;

(iii) Hexahydrocannabinol; and

(iv) Tetrahydrocannabivarin (THCv); and

(C) Does not include:

(i) Cannabichromene (CBC/CBCa/CBCv);

(ii) Cannabicitran (CBT/CBTa);

(iii) Cannabicyclol (CBL/CBLa);

- (iv) Cannabidiol (CBD/CBDa/CBDv/CBDp);
- (v) Cannabielsoin (CBE/CBEa);
- (vi) Cannabigerol (CBG/CBGa/CBGv/CBGm);
- (vii) Cannabinol (CBN/CBNa);
- (viii) Cannabivarin (CBV/CBVa);
- (ix) Hemp-derived feed products allowed under title 44, chapter 6;
- (x) Hemp-derived fiber, grain, or stalk; provided, that the product does not contain a hemp-derived cannabinoid in a concentration of more than three-tenths of one percent (0.3%) on a dry weight basis;
- (xi) Tetrahydrocannabinolic acid (THCa) in a concentration greater than three-tenths of one percent (0.3%) on a dry weight basis;
- (xii) Tetrahydrocannabiphorol (THCp);
- (xiii) A synthetic cannabinoid; or
- (xiv) A substance that is categorized as a Schedule I controlled substance on or after July 1, 2023, including a substance that may be identified in subdivision (3)(B);

AND FURTHER AMEND by deleting subdivisions (13) and (14) in § 57-7-102 in SECTION 2 and substituting:

(13) "THC component" means a naturally occurring cannabinoid component of industrial hemp or hemp;

(14) "Total THC" means a hemp-derived cannabinoid or a combination of tetrahydrocannabinol, tetrahydrocannabinolic acid, a THC component, or a derivative thereof;

(15) "Total theoretical tetrahydrocannabinol content" or "total theoretical THC content" is the maximum amount of possible delta-9 tetrahydrocannabinol if total conversion were to occur, calculated as the sum of the concentration of delta-9 tetrahydrocannabinol added to the amount of tetrahydrocannabinolic acid after such amount is multiplied by eight hundred seventy-seven

ten-thousandths (0.877) on a dry weight basis and reported to two significant figures, and expressed in mathematical formula as follows:

Total theoretical THC = ([delta 9 THC] + ([THCa] x 0.877)); and

(16) "Wholesaler" means a person or entity that purchases finished and packaged for consumption HDCPs, not considered intermediate products still in the pre-packaging stage, from suppliers licensed under this chapter, or from other wholesalers licensed under this chapter, and that sells HDCPs for resale and not for consumption.

AND FURTHER AMEND by deleting the language "pursuant to § 57-4-102" in § 57-7-104(b)(2) in SECTION 2 and substituting "pursuant to § 57-4-102 or § 57-4-201".

AND FURTHER AMEND by deleting § 57-7-106(b)(3)(C) in SECTION 2 and substituting:

(C) For the purposes of subdivision (b)(3)(A), measurements must be made in a straight line in all directions, without regard to intervening structures or objects, from the nearest exterior wall of the proposed licensed establishment to the nearest exterior wall of a building containing a private school, public school, or charter school that serves any grade from kindergarten through grade twelve (K-12).

AND FURTHER AMEND by deleting § 57-7-106(f)(1)(E)(i) in SECTION 2 and substituting:

(i) The applicant has secured or is readily able to secure a warehouse located in this state, which meets all local requirements for the applicant's specific use of the property, with a minimum size and dedicated area of one thousand square feet (1,000 sq. ft.) that is not also being used for the cultivation, manufacture, laboratory testing, or the retail sale of hemp, hemp-derived products other than HDCPs, or HDCPs. Other products regulated by the commission or by the applicable local beer board may be stored in the same areas as HDCPs; provided, that all required federal, state, and local licenses, permits, and other requirements are satisfied for the storage of such products;

AND FURTHER AMEND by deleting § 57-7-107(b)(1) in SECTION 2 and substituting:

(1) A supplier must contract with a third-party laboratory to provide the testing required by subsection (a). Such laboratory may be located within or outside of this state; provided, that the laboratory is certified for testing by the commission.

AND FURTHER AMEND by deleting § 57-7-108(c) in SECTION 2 and substituting:

(c) All moneys collected under this section must be turned over to the state treasurer for deposit into a special account in the state general fund with fifty percent (50%) to be appropriated for use by the commission in the enforcement of this chapter. Unused funds remaining in the special account for use by the commission at the end of the fiscal year must revert to the state general fund.

AND FURTHER AMEND by deleting § 57-7-110(f)(2)(B) and (C) in SECTION 2 and substituting:

(B) In a container with a volume greater than seven hundred fifty milliliters (750 ml), unless the container is a standard fifteen- and one-half gallon (15.5 gal.) keg container or a seven- and three-fourths gallon (7.75 gal.) keg container of HDCP beverage product for wholesale sale to a retail licensee only; or

(C) In a concentration greater than two hundred fifty (250) milligrams, in the aggregate, of one (1) or more hemp-derived cannabinoids, per seven hundred fifty milliliters (750 ml) by volume, or six hundred fifty milligrams (650 mg) of HDC per fifteen and one-half gallon (15.5 gal.) keg container and three hundred twenty-five milligrams (325 mg) of HDC per seven and three-fourths gallon (7.75 gal.) keg container; or

AND FURTHER AMEND by deleting § 57-7-113(a)(1) in SECTION 2 and substituting:

(1) To ship an HDCP directly to a consumer in this state;

AND FURTHER AMEND by adding the following new subsection (c) to § 57-7-113 in SECTION 2:

(c) This section does not prohibit a person or entity with a retail license issued under this chapter from shipping an HDCP to a consumer outside of this state if direct-to-consumer shipping of HDCPs is lawful in the jurisdiction in which the consumer resides.

AND FURTHER AMEND by deleting § 57-7-114(a) in SECTION 2 and substituting:

(a) It is an offense to manufacture, cultivate, produce, or sell in this state:

(1) Hemp, harvested hemp, hemp plant parts, HDCPs, or another product which contains a total THC content, or a total theoretical THC content, in excess of three-tenths of one percent (0.3%) on a dry weight basis;

(2) A synthetic cannabinoid, or an HDCP or any other product, which contains a synthetic cannabinoid; or

(3) A derivative of hemp or an HDCP that contains tetrahydrocannabiphorol (THCp).

AND FURTHER AMEND by deleting § 57-7-114(c) in SECTION 2.

AND FURTHER AMEND by deleting SECTION 9 and substituting:

(a) Notwithstanding this act to the contrary, a license issued pursuant to Tennessee Code Annotated, Title 43, Chapter 27, Part 2, before the effective date of this act remains valid and in full force in accordance with subsection (b). Such license and license holder are subject to Tennessee Code Annotated, Title 43, Chapter 27, Part 2, as it existed prior to the effective date of this act, until the expiration of the license in accordance with subsection (b).

(b) Before January 1, 2026, the department of agriculture shall continue to process and renew HDC supplier and retail applications and licenses pursuant to § 43-27-205. If such a license is set to expire before January 1, 2026, its expiration date must be extended through December 31, 2025.